



APPLIED ECONOMICS

SUMMATIVE TEST

S.Y. 2018-2019

Name: _____ Grade/Sec: _____ Date: _____

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Direction: Choose the letter of the correct answer and write it on the space provided opposite each item.

- _____ 1. It is the study of how individuals and societies choose to use scarce resources that nature and previous generations have provided.
a. Economics
b. Economist
c. Positive Economics
d. Economic Theory
- _____ 2. The following are factors of production EXCEPT
a. Land
b. Labor
c. Capital
d. Enterprise
- _____ 3. When one is making a choice, the cost of one gives up is called _____.
a. Barter
b. Exchange
c. Trade-off
d. Opportunity Cost
- _____ 4. The three basic problems of the country are the following except:
a. Who gets what is produced
b. How it is produced
c. What are produce
d. Who makes the choice
- _____ 5. Which of the following is a factor of production?
a. The interest paid on a bank loan
b. The taxes paid by workers to the government
c. The skill of an electrical engineer to make electrical wirings
d. The profit of a company
- _____ 6. Liza is concerned on the changes of shoes' price in the market. What scope of economics is concerned?
a. Macroeconomics
b. Microeconomics
c. Positive Economics
d. Descriptive Economics
- _____ 7. It happens when there is less supply than consumer demand.
a. Shortage
b. Surplus
c. Price Change
d. All are correct
- _____ 8. This states that as the price of a good or service that producers are willing and able to offer for sale during a period of time increases, the quantity of a good or service supplied increases.
a. Law of Demand
b. Law of Supply
c. Supply
d. Demand
- _____ 9. This is the application of economic theories and principles to real world situations with the desired aim of predicting potential outcomes.
a. Economics
b. Econometrics
c. Traditional Economics
d. Applied Economic
- _____ 10. Suppose that Austria and Belgium have the unit labor requirements for producing steel and brooms shown in the table below. Then _____

Good	Austria	Belgium
Steel	3	8
Broom	2	1

- Belgium has a comparative advantage in brooms.
- Austria has an absolute advantage in both products.
- Austria has an absolute advantage in steel.
- Belgium has an absolute advantage in both products.

11. This is the most important resource.
 - Land
 - Labor
 - Capital
 - Entrepreneurship
12. This is the application of economic theories to real life situations.
 - Applied economics
 - Ethics
 - economics
 - normative economics
13. Which of the following statement best describes scarcity?
 - When there is an abundant or infinite amount of resource or goods
 - Society can meet the wants of every individual
 - There is a less of goods and resources available than people wish to have
 - The government fails to produce the goods
14. Marvin is thinking of going into a movie to watch "How to Train Your Dragon" premiere. A ticket costs Php300 and she will have to cancel her tutoring job that pays Php500. The cost of seeing the movie is _____.
 - 300
 - 500
 - 800
 - 200
15. Benjie decided to go to class instead of watching movie. What is her opportunity cost?
 - The benefit of learning new things and having more knowledge
 - Meeting new friends
 - Entertainment of watching movie
 - All of the answers
16. This is one of the factors affecting supply which is commonly costly at the start of implementation but would provide better results in the long run. An example is in agriculture where it can help in the increase of crop production. What factor is this?
 - Price
 - Capital
 - Competition
 - Technology
17. Under which economic system would factors of production most likely be owned by a government?
 - Free - Market economy
 - Command economy
 - Traditional Economy
 - Mixed Economy
18. In a command economy, how are the prices of goods and services determined?
 - Market forces of supply and demand
 - The central government
 - independent agencies
 - business owners
19. Which of the following is NOT a factor affecting demand?
 - Price
 - Consumer Income and Wealth
 - Input Prices
 - Change of Taste and Preference
20. Which statement best describes the difference between a market economy and a traditional economy?
 - In a market economy, decisions are based on customs
 - In a traditional economy, decisions are based solely on supply and demand
 - In a traditional economy, decisions are based on habit and custom
 - In a market economy, decisions are based on habit
21. This type of economy is characterized by competition and high level of private ownership. There is no government intervention in this type of economy.
 - Free-market
 - Mix

- b. Traditional d. Centralized
- _____ 22. Which term is used to describe a situation where the majority of people are looking for work or finding a job?
- a. poverty c. unemployment
b. corruption d. inflation
- _____ 23. It is often called as "what is economics"
- a. Positive economics c. none of the choices
b. Negative economics d. normative economics
- _____ 24. A pizza delivery guy falls under what factor of production?
- a. Land c. capital
b. Labor d. entrepreneurship
- _____ 25. A forest falls under what factor of production?
- a. Land c. Capital
b. Labor d. entrepreneurship
- _____ 26. Which of the following statement fall under microeconomics?
- a. Household weekly budget
b. Government budget on public infrastructure
c. Total Philippine export to the United States of America
d. Current inflation rate of the country
- _____ 27. In how it is produced, what are the two techniques used for an efficient and effective production?
- a. Capital intensive and machine intensive technique
b. None of these are correct
c. Artificial intelligence and robot technique
d. Labor intensive and capital intensive technique
- _____ 28. If the price of a substitute to a good increases, then _____
- a. The demand for the substitute will increase.
b. The demand for the substitute good will decrease
c. The demand for the substitute good will not change
d. The supply for the substitute good will decrease
- _____ 29. It is the process of combining inputs in order to make something for consumption.
- a. Combination c. Production
b. All of these are correct d. Manufacturing
- _____ 30. "Ceteris Paribus" in Latin phrase literally means
- a. All things equal c. to respond slowly to price change
b. After this before this d. there's no such thing as free lunch
- _____ 31. A worker's education can contribute to _____
- a. Economic problem c. Human Capital
b. Scarce Resources d. All choices
- _____ 32. Shiela sells corn every day. The demand for crop dropped due to numerous substitutes available in the market, thus increasing the number of supply. In this state, there could be a possible _____.
- a. Shortage c. drought
b. Surplus d. none is correct
- _____ 33. It is harvest season and there had been an abundant supply. What concept best applies the statement?
- a. Scarcity c. surplus
b. Shortage d. exchange
- _____ 34. Private airlines in the Philippines use airplanes to produce transportation services. Airplanes in this situation are an example of what resource?
- a. Labor c. Land
b. Capital d. None of the choices
- _____ 35. The following are considered as consumer goods EXCEPT:
- a. Hermes bag c. Water
b. Food d. Clothing

Test II. Understand each statement. Write **I** if the demand or price of a product will **INCREASE**, and **D** if the demand or price of a product will **DECREASE**.

- _____ 36. What would happen to the overall demand for Macaroni and Cheese if the price were to go up Php15 per box?
- _____ 37. A new hair salon has just opened right next to your salon, what will happen to the price you set for salon services?
- _____ 38. It was aired on the news that hotdogs causes cancer. What will happen to the demand of hotdogs?
- _____ 39. Typhoon Yolanda caused a lot of damage to vegetable crops. What will happen to the price of vegetable?
- _____ 40. What will happen to the demand of rice if it increases by ten pesos?

Test III. Solve and compute for the needed answer.

Goods	Countries	
	A	B
Ketchup	120	200
Coca-Cola	175	235

41. Which of the countries has an absolute advantage?

42-45. If given the chance that only one country should specialize in one good, what country should focus on the production of Ketchup? What country should focus on the production of Coca-Cola? Why? (Compute and explain)

Test IV. 45-50 Use applied economics in solving the given problem.

Assume that the world is facing a global catastrophe. All nations around the world are experiencing scarcity causing the death of million. At the same time, the population is exponentially growing causing inability to provide needs to the people. Thus, China has reconsidered the "One Child Policy" in order to control the human population.

The Philippine government is also confronted with the same issues like limited resources because of the ever flowing increase in the country's population. Because of that, numerous crimes had been reported. If you were the government, what can you possibly do to secure an efficient allocation of resources to the population? Will you control the influx of population? If yes,

how? If no, what other solutions can be done to assure that all Filipinos will be given the chance to meet their needs and even wants? Explain your answer and cite examples.